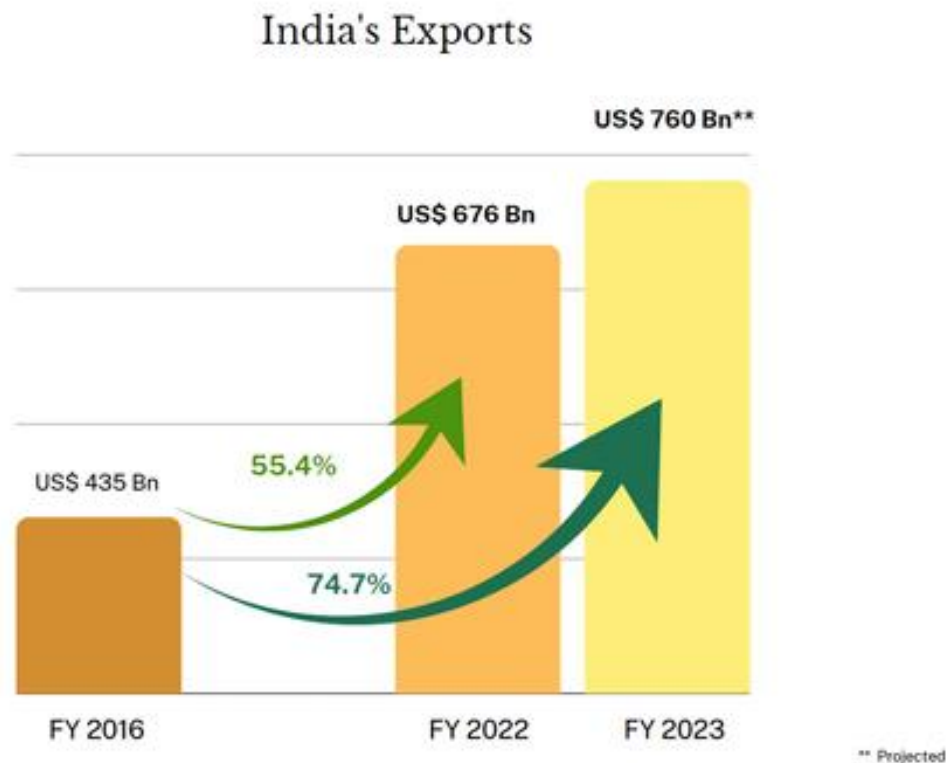


Foreign Trade Policy -2023

INTRODUCTION

- **Launched by:** Union Minister of Commerce and Industry, **Shri Piyush Goyal** launched the Foreign Trade Policy 2023.
- **Export Scenario:** India's overall exports, including services and merchandise exports, has already crossed **US\$ 750 Billion** and is expected to cross **US\$ 760 Billion** this year.



- **Key Approach:** The Key Approach to the policy is based on these **4 pillars**:
 - Incentive to Remission.
 - Export promotion through collaboration - Exporters, States, Districts, Indian Missions.
 - Ease of doing business, reduction in transaction costs and e-initiatives.

Foreign Trade Policy -2023

- Emerging Areas – E-Commerce Developing Districts as Export Hubs and streamlining **SCOMET** policy.

➤ About FTP:

- Foreign Trade Policy - 2023 is effective from 01-04-2023
- Released by Directorate General of Foreign Trade, Department of Commerce, Ministry of Commerce and Industry
- Foreign Trade Policy (2023) is a policy document which is based on continuity of **time-tested schemes facilitating exports** as well as a document which is nimble and responsive to the requirements of trade.
- It is based on principles of **‘trust’ and ‘partnership’** with **exporters**.
- In the **FTP 2015-20**, changes were made subsequent to the initial release even without announcement of a new FTP responding dynamically to the emerging situations.
- Hereafter, the **revisions of the FTP shall be done** as and when required.
- Incorporating feedback from Trade and Industry** would also be continuous to streamline processes and update FTP, from time to time.

➤ Aims:

- The FTP 2023 aims at **process re-engineering and automation** to facilitate ease of doing business for exporters.
- It also **focuses on emerging areas** like dual use **high end technology** items under **SCOMET**, facilitating e-commerce export, collaborating with States and Districts for export promotion.

➤ Changes Brought:

- The new FTP is introducing a one-time Amnesty Scheme for exporters to close the old pending authorizations and start afresh.
- FTP 2023 encourages recognition of new towns through “Towns of Export Excellence Scheme” and exporters through “Status Holder Scheme”.
- The FTP 2023 is facilitating exports by streamlining the popular Advance Authorization and EPCG schemes and enabling merchanting trade from India

CH 1: Legal Framework and Trade Facilitation

Foreign Trade Policy -2023

- ❖ The **Foreign Trade Policy (FTP) 2023** is notified by Central Government, in exercise of powers conferred under **Section 5 of the Foreign Trade (Development & Regulation) Act, 1992**.
- ❖ **Bill of Lading** and **Shipping Bill** are the key documents for deciding the date of import and export respectively.
- ❖ For operational listing of **ICLC (Irrevocable Commercial Letter of Credit)**, the applicant shall have to register the ICLC with jurisdictional RA against computerized receipt **within 15 days** of imposition of any such restriction/ regulation.
- ❖ India has ratified the **World Trade Organization's Trade Facilitation Agreement (TFA) in April 2016**. To facilitate coordination and implementation of the TFA provisions, an inter-ministerial body i.e., **National Committee on Trade Facilitation (NCTF)** has been constituted.
- ❖ TFA emanates from the following **four pillars**:
Transparency, Technology, Simplification of Procedures and Risk based assessment, and Infrastructure Augmentation.
- ❖ National Trade Facilitation Action Plan aims to achieve: -
 - Improvement in Ease of Doing Business through reduction in transaction cost and time.
 - Reduction in cargo release time
 - A paperless regulatory environment
 - A transparent and predictable legal regime
 - Improved investment climate through better infrastructure
- ❖ **DGFT** has a commitment to function as a facilitator of exports and imports. In order to facilitate international trade, DGFT consults various **Export Promotion Councils** as well as **Trade and Industry bodies** from time to time.
- ❖ **No seizure shall be made by any agency** so as to disrupt manufacturing activity and delivery schedule of exports. In exceptional cases, **concerned agency may seize the stock on the basis of prima facie evidence of serious irregularity**. However, such seizure should **be lifted within 7 days** unless the irregularities are substantiated.
- ❖ To reduce transaction and handling costs, a **single window system** to facilitate export of perishable agricultural produce is being facilitated through **Agricultural and Processed Food Products Export Development Authority (APEDA)**.
- ❖ **DGFT** is implementing the **Niryat Bandhu Scheme** for mentoring new and potential exporter on the intricacies of foreign **trade through counseling, training and outreach programmes** including the '**Districts as Export Hubs**' initiative with '**industry partners**',

Foreign Trade Policy -2023

‘knowledge partners’ and other stakeholders to create **vibrant District-Product-Market relevant knowledge ecosystem**.

- ❖ **Importer Exporter Code (IEC)**, issued by DGFT is mandatory for export/ import from/to India.
- ❖ An **IEC is a 10-character alpha-numeric number** allotted to an entity (firm/company/LLP etc.) and is mandatory for undertaking any export/import activities.
- ❖ **e-BRC (Electronic Bank Realization Certificate)** has enabled DGFT to capture details of realization of export proceeds directly from the Banks through secured electronic mode.
- ❖ **RBI has also developed a comprehensive IT-based system called Export Data Processing and Monitoring System (EDPMS)** for monitoring of export of goods and software and facilitating AD banks to report various returns through a single platform.
- ❖ Based upon **World Customs Organization (WCO)’s SAFE Framework of Standards, ‘Authorized Economic Operator (AEO) programme’** has been developed by Indian Customs to enable business involved in the international trade to reap the benefits.
- ❖ Selected towns producing goods of **Rs. 750 Crore** or more may be notified as **Towns of Export Excellence (TEE)** based on potential for growth in exports. However, for **TEE in Handloom, Handicraft, Agriculture and Fisheries sector**, threshold limit would be **Rs.150 Crore**.
- ❖ An **inter-ministerial committee** to be set up to examine MSME trade related grievances which have policy ramifications. This will expedite decision making with a **‘whole of government approach’**.
- ❖ With a view to **expand employment opportunities**, certain special focus initiatives for **Marine Products and Sports Goods & Toys** sectors are required.

These sectors are being provided the following **duty free entitlements** (only basic customs duty is exempted) as per the relevant Customs Notifications:

- a) **Marine Sector** - Duty free import of specified specialized inputs/ chemicals and flavoring oils **not exceeding 1% of FOB value** of seafood exports during the preceding financial year.
- b) **Sports Goods and Toys** - Duty free import of specified inputs not exceeding **3% of FOB value** of sports goods exports during the preceding financial year.

Status Category	Export Performance Threshold In USD Million
One Star Export House	3
Two Star Export House	15
Three Star Export House	50
Four Star Export House	200
Five Star Export House	800

❖ The objective behind certifying certain exporter firms as **“Status Holder”** is to recognize such exporter firms as **business leaders who have excelled in international trade** and have successfully contributed to country’s foreign trade.

❖ **Status Holder Categories:**

Foreign Trade Policy -2023

- ❖ **Input-Output norms may be fixed on priority within 60 days** by the Norms Committee; Special scheme in respect of Input Output Norms to be notified by DGFT from time to time, for **specified status holder**.
- ❖ **Status** holders shall be entitled to export freely exportable items (excluding Gems and Jewelry, Articles of Gold and precious metals) on free of cost basis for export promotion subject **to an annual limit of Rupees One Crore or 2%** of average annual export realization during preceding **three licensing years**, whichever is lower.
- ❖ **To improve the trade ecosystem by enhancing the available skilling opportunities, Status Holders** are being made “**partners**” in providing mentoring and training in international trade. Status Holders will endeavor **to provide skill upgradation/ training in international** trade as detailed below:

Status	Number of Trainees per year
Two Star Export House	5
Three Star Export House	10
Four Star Export House	20
Five Star Export House	50

CHAPTER 02 - GENERAL PROVISIONS REGARDING IMPORTS AND EXPORTS

- ❖ **Exports and Imports shall be ‘Free’** except when regulated by way of ‘**Prohibition**’, ‘**Restriction**’ or ‘**Exclusive trading through State Trading Enterprises (STEs)**’ as laid down in **Indian Trade Classification (Harmonized System) [ITC (HS)]** of Exports and Imports.

Foreign Trade Policy -2023

- ❖ **ITC(HS)** is a compilation of codes for all merchandise / goods for export/ import. Goods are classified based on their group or sub-group at **2/4/6/8 digits**.
- ❖ **ITC (HS) is aligned at 6-digit level** with international **Harmonized System** goods nomenclature maintained by World Customs Organization. However, **India maintains national Harmonized System** of goods at **8-digit level** notified under **First Schedule** of the **Customs Tariff Act, 1975**.
- ❖ **DGFT** may **specify Procedures** to be followed by an exporter or importer or by **any licensing/Regional Authority (RA)** or by any other authority for purposes of implementation.
- ❖ **Import of goods, including those purchased from e-commerce portals**, through post or courier, where **Customs clearance is sought as gifts**, is **prohibited** except for life saving drugs/ medicines and Rakhi (but not gifts related to Rakhi).

Explanation: Rakhi (but not gifts related to Rakhi) will be covered under Section 25(6) of **Customs Act, 1962** that reads that “no duty shall be collected if the amount of duty leviable is equal to or less than **Rs. 100/-**”

- ❖ **Export Promotion Councils (EPCs)** are organizations of exporters, set up with the **objective to promote and develop Indian exports**. **Each Council is responsible for the promotion of a particular group of products/ projects/services**.
- ❖ **Merchanting trade** involving shipment of goods from one foreign country to another foreign country without touching Indian ports, involving an Indian intermediary is allowed **subject to compliance with RBI guidelines**, except for goods/items in the **CITES and SCOMET list**.
- ❖ **EPCs are also eligible to function as Registering Authorities to issue Registration-cum-Membership Certificate (RCMC)** to its members.
- ❖ **DGFT may in public interest pass such orders** or grant such exemption, relaxation, or relief, as he may deem fit and proper, on grounds of **genuine hardship and adverse impact** on trade to any person or class or category of persons from any provision of FTP or any Procedures.

While granting such exemption, DGFT may impose such conditions as he may deem fit after consulting the Committees as under:

Foreign Trade Policy -2023

- ❖ **Mandatory documents** required for **export** of goods from India:
 1. **Bill of Lading/ Airway Bill/ Lorry Receipt/ Railway Receipt/Postal Receipt**
 2. **Commercial Invoice cum Packing List**
 3. **Shipping Bill/Bill of Export/ Postal Bill of Export**
- ❖ **Mandatory documents** required for **import** of goods into India:
 1. **Bill of Lading/Airway Bill/Lorry Receipt/ Railway Receipt/Postal Receipt in form CN-22 or CN 23 as the case may be.**
 2. **Commercial Invoice cum Packing List**
 3. **Bill of Entry**
- ❖ **Goods including edible items, of value not exceeding Rs.5,00,000/-** in a licensing year, may be **exported as a gift**. However, items mentioned as restricted for exports in **ITC(HS)** **shall not be exported** as a gift, **without an authorization**.
- ❖ All export contracts and invoices shall be denominated either in **freely convertible currency or Indian rupees**, but export proceeds shall be realized in **freely convertible currency**.
- ❖ **Export Credit Agencies (ECAs)** are policy instruments for the Government to support

Sl. No.	Description	Committee
(a)	Fixation/modification of product norms under all schemes	Norms Committees
(b)	Nexus with Capital Goods (CG) and benefits under EPCG Schemes	EPCG Committee
(c)	All other issues	Policy Relaxation Committee (PRC)

exports. **ECAs support exports** by insurance, guarantee and also direct lending. **Export Credit Agencies (ECAs)** like **Export Credit Guarantee Corporation of India Ltd. (ECGC)** provides credit insurance support to exports and export credit lending.

Foreign Trade Policy -2023

- ❖ **Export Promotion Councils (EPCs)** are organizations of exporters, set up with the objective to promote and develop Indian exports.
- ❖ **DGFT may in public interest pass such orders** or grant such exemption, relaxation or relief, as he may deem fit and proper, on grounds of genuine hardship and **adverse impact on trade to any person** or class or category of persons from any provision of FTP or any Procedures. While granting such exemption, **DGFT may impose such conditions** as he may deem fit after consulting the Committees as under:

Sl. No.	Description	Committee
(a)	Fixation/modification of product norms under all schemes	Norms Committees
(b)	Nexus with Capital Goods (CG) and benefits under EPCG Schemes	EPCG Committee
(c)	All other issues	Policy Relaxation Committee (PRC)

- ❖ Any person, **applying for an authorization to import/ export under the FTP (except items listed as 'Restricted' items in ITC (HS))** or applying for any other benefit or concession under FTP, shall be required to provide, the **RCMC** granted by competent authority.
- ❖ A **Policy Interpretation Committee (PIC)** may be **constituted to aid and advise DGFT**. The composition of the **PIC** would be as follows:

i. DGFT: Chairman

- ii. All Additional DGFTs in Headquarters: Members
- iii. All Joint DGFTs in Headquarters looking after Policy matters: Members
- iv. (Joint DGFT (PRC/PIC): Member Secretary
- v. Any other person / representative of the concerned Ministry / Department, to be co-opted by the Chairman.

CHAPTER 03 - DEVELOPING DISTRICTS AS EXPORT HUBS

Foreign Trade Policy -2023

- ❖ **Products/services** (GI products, agricultural clusters, toy clusters etc.) with export potential in **each District have to be identified** and institutional mechanism in the form of **District Export Promotion Committees (DEPCs)** at the district level is to be created to provide support **for export promotion** and address the bottlenecks for export growth in the districts.
- ❖ The **District Export Action Plan (DEAP)** may be prepared for each district. **2-3 high potential products/services** from the districts may be prioritized and a comprehensive plan for their export growth may be prepared.
- ❖ **To synergize the efforts of the Department of Commerce/ DGFT and the State/UT governments** in promotion of exports from the State, each State shall constitute a **State Export Promotion Committee (SEPC) headed by Chief Secretary of the State.**
- ❖ **DGFT would develop an online monitoring portal** that may be accessed on the **DGFT website** to enable the **States/ DGFT Regional Authorities** to upload all information related to the products/services with export potential of every District.
- ❖ The **training and development needs of District industries** may be identified, and training may be coordinated with other departments.
- ❖ **Department of Commerce schemes** such as **Market Access Initiative, Niryat Bandhu scheme** etc. may also give priority to district specific needs identified under the **District Export Action Plan.**

CHAPTER 04 - DUTY EXEMPTION REMISSION SCHEMES

❖ Schemes:

(a) Duty Exemption Schemes:

- **Advance Authorization (AA)** (which will include Advance Authorization for Annual Requirement).
- **Duty Free Import Authorization (DFIA).**

(b) **Duty Remission Scheme:** Duty Drawback (DBK) Scheme, administered by Department of Revenue.

(c) Scheme for Rebate on State and Central Taxes and Levies (RoSCTL), as notified by the Ministry of Textiles.

Foreign Trade Policy -2023

- (d) Schemes for **Remission of Duties and Taxes on Exported Products (RoDTEP)** notified by Department of Commerce and administered by Department of Revenue.

Advance Authorization (AA):

- ❖ Advance Authorization is issued to allow **duty free import of input**, which is **physically incorporated in export product** (making normal allowance for wastage).
- ❖ Advance Authorization can be issued **either to a manufacturer exporter or merchant exporter** tied to supporting manufacturer.
- ❖ **The minimum value addition** required to be achieved under **Advance Authorization is 15%**.
- ❖ **“Gold jewellery, including partly processed jewellery, and articles including medallions and coins** (excluding legal tender coins), whether plain or studded, containing gold of **8 carats and above up to a maximum limit of 22 carats**.
- ❖ Advance Authorization for **Annual Requirement shall only be issued** for items notified in **Standard Input Output Norms (SION)**.

Self-Ratification Scheme:

- ❖ **Where there is no SION/valid Ad hoc Norms for an export product** or where SION has been notified but exporter intends to use additional inputs in the manufacturing process, **eligible exporter can apply for an Advance Authorization under a scheme on self-declaration and self-ratification basis**.
- ❖ **Advance Authorization** and / or material imported under Advance Authorization shall be subject to **‘Actual User’ condition**.
- ❖ Advance Authorization shall **also be available where some or all inputs are supplied free of cost** to exporter by foreign buyers.

Duty Free Import Authorization (DFIA):

- ❖ **Duty Free Import Authorization** is **issued to allow duty free import of inputs**. In addition, import of oil and catalyst which is consumed/ utilized in the **process of production of export product, may also be allowed**.
- ❖ Duty Free Import Authorization shall be **exempted only from payment of Basic Customs Duty (BCD)**.

Foreign Trade Policy -2023

- ❖ Duty Free Import Authorization shall be **issued on post export basis** for products for which **Standard Input Output Norms** have been notified.
- ❖ **A minimum value addition of 20%** shall be required to be achieved.
- ❖ **Regional Authority** shall **issue transferable DFIA** with a **validity of 12 months from the date of issue**.

❖ **SCHEMES FOR EXPORTERS OF GEMS AND JEWELLERY:**

- export of gold jewelry, including partly processed jewelry, whether plain or studded, and articles, **containing gold of 8 carats and above up to a maximum limit of 22 carats only** shall be permitted.
- export of Gold religious idols (only gods and goddess) of 8 carats and above (up to 24 carats) shall be permitted subject to the following conditions:
 - Exports would be subject to 100% examination by the Approved Government Valuer.
 - Foreign remittance has to be realized within a period of 3 months from the date of export.
- **Export of Silver jewellery including partly processed jewellery**, silverware, silver strips and articles including medallions and coins (excluding legal tender coins and any engineering goods) containing more than 50% silver by weight shall be permitted;
- **Export of Platinum jewellery including** partly processed jewellery and articles including medallions and coins (excluding legal tender coins and any engineering goods) containing more than 50% platinum by weight shall be permitted.
- **The schemes are as follows:**
 - Advance Procurement/ Replenishment of Precious Metals from Nominated Agencies;
 - Replenishment Authorisation for Gems;
 - Replenishment Authorisation for Consumables;
 - Advance Authorisation for Precious Metals
- Duty Free Import Authorisation scheme shall not be available for Gems and Jewellery sector.
- An exporter (with annual export turnover of **Rs 5 crores for each of the last three years**) or the authorized offices/ agencies in India of laboratories may export cut & polished diamonds (each of 0.25 carat or above) to any of the approved

Foreign Trade Policy -2023

agencies/laboratories with re-import facility at zero duty within 3 months from the date of export. Such facility of re- import at zero duty will be subject to guidelines issued by Central Board of Customs & Excise, Department of Revenue.

- Export of jewellery through Foreign Post Office including via Speed Post is allowed. The jewellery parcel shall not exceed 20 kgs by weight.
- A bank authorized by **Reserve Bank of India** is allowed export of gold scrap for refining and import standard gold bars as per Reserve Bank of India guidelines.

❖ RODTEP (Remission of Duties and Taxes on Exported Products) scheme:

- **Scheme's objective is to refund, currently unrefunded:**
 - (a) **Duties/ taxes / levies, at the Central, State and local level**, borne on the exported product, including prior stage cumulative indirect taxes on goods and services used in the production of the exported product and
 - (b) **Such indirect Duties/ taxes / levies** in respect of distribution of exported product.
- The **rebate under the Scheme shall not be available** in respect of duties and taxes already exempted or remitted or credited.
- The **determination of ceiling rates** under the Scheme will be done by a **Committee in the Department of Revenue/Drawback Division** with suitable representation of the **DoC/DGFT**, line ministries and experts, on the sectors prioritized by Department of Commerce and Department of Revenue.
- **Under the Scheme**, a **rebate would be granted to eligible exporters** at a notified rate as a percentage of **FOB (Free on board) value** with a value cap per unit of the exported product, wherever required, on export of items which are categorized under the **notified 8 digit HS Code**.
- **Residual issues related to the Scheme** arising subsequently shall be considered by an **Inter-Ministerial Committee, named as "RODTEP Policy Committee (RPC)" chaired by DGFT** (comprising members of Department of Commerce and Department of Revenue), whose decisions would be binding.

CHAPTER 05 - EXPORT PROMOTION CAPITAL GOODS (EPCG) SCHEME

- ❖ The **objective of the EPCG Scheme** is to **facilitate import of capital goods for producing quality goods and services** and enhance India's manufacturing competitiveness.
- ❖ EPCG Scheme allows **import of capital goods for preproduction, production and post-production** at zero customs duty.
- ❖ **Import under EPCG Scheme** shall be subject to an **Export Obligation (EO)** equivalent to **6 times of duties**, taxes and cess saved on capital goods, **to be fulfilled in 6 years reckoned** from date of issue of Authorization.
- ❖ For **manufacturing units located in Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Jammu & Kashmir and Ladakh**, specific **Export Obligation (EO)** shall be **25% of the EO**, as stipulated in above point. There shall be no change in average EO imposed.
- ❖ **In case of export of goods relating to the following**, the **EPCG Authorisation holder shall not be required to maintain average export obligation.**
 - (i) Handicrafts, (ii) Handlooms, (iii) Industries covered under Khadi and Village Industries Commission (KVIC) (iv) Agriculture (v) Aquaculture (including Fisheries), Pisciculture, (vi) Animal husbandry and Dairying, (vii) Floriculture & Horticulture, (viii) Poultry, (ix) Viticulture, (x) Sericulture, (xi) Carpets, (xii) Coir, and (xiii) Jute.
- ❖ **Authorisation shall be valid for import for 24 months** from the date of issue of Authorisation. Revalidation of EPCG Authorisation shall not be permitted.
- ❖ **Import/procurement under EPCG scheme** shall also be subjected to **Average Export Obligation (AEO)**.
- ❖ With a **view to accelerating exports**, in cases where **authorization holder has fulfilled 75% or more of specific export obligation and 100% of Average Export Obligation** till date, if any, in half or less than half the original export obligation period specified, remaining **export obligation shall be condoned**, and the authorization redeemed by RA concerned.
- ❖ **EPCG scheme** covers manufacturer exporters **with or without supporting manufacturer(s), merchant exporters** tied to supporting manufacturer(s) and service providers.

Foreign Trade Policy -2023

- ❖ A **company holding EPCG authorizations** and having been admitted under the provisions of **Insolvency and Bankruptcy Code 2016** for commencement of insolvency proceedings and in respect of whom the resolution plan has been approved under **Section 31 of IBC 2016** by **Adjudicating Authority** may be permitted to relief, concessions and waivers in accordance with the resolution plan approved/ finalised by **Adjudicating Authority/Appellate Authorities** as the case may be.
- ❖ A **person holding an EPCG Authorization** may source capital goods from a domestic manufacturer either through Invalidation Letter or through **Advance Release Order**.
- ❖ **In case of direct imports**, EO shall be reckoned with reference to actual duty /Taxes/Cess saved amount. **In case of domestic sourcing**, EO shall be reckoned with reference to notional **Customs duty /Taxes/Cess saved** on FOR value as indicated in ARO / Invalidation letter.

CHAPTER 06 - EXPORT ORIENTED UNITS (EOUs), ELECTRONICS HARDWARE TECHNOLOGY PARKS (EHTPs), SOFTWARE TECHNOLOGY PARKS (STPs) AND BIO TECHNOLOGY PARKS (BTPs)

- ❖ Units undertaking to export their entire production of goods and services (except permissible sales in DTA), may be set up under the **Export Oriented Unit (EOU) Scheme, Electronics Hardware Technology Park (EHTP) Scheme, Software Technology Park(STP) Scheme or Bio-Technology Park (BTP) Scheme for manufacture of goods**, including repair, re-making, reconditioning, re- engineering, rendering of services, development of software, agriculture including agro-processing, aquaculture, animal husbandry, bio-technology, floriculture, horticulture, pisciculture, viticulture, poultry and sericulture. Trading units are not covered **under these schemes**.
- ❖ **The objectives of these schemes are to promote exports, enhance foreign exchange earnings, and attract investment** for export production and employment generation.

Foreign Trade Policy -2023

- ❖ An **EOU / EHTP / STP / BTP unit** may export all kinds of goods and services except items that are prohibited in ITC (HS) however export of gold jewelry, including partly processed jewelry, whether plain or studded, and articles, **containing gold of 8 carats and above up to a maximum limit of 22 carats only** shall be permitted.
- ❖ **Procurement and supply of export promotion material** like brochure/literature, pamphlets, hoardings, catalogues, posters etc. **upto a maximum value limit of 1.5% of FOB (Free on Board) value** of previous year's exports shall also be allowed.
- ❖ Procurement and export of spares / components, **upto 5% of FOB** value of exports, may be allowed to same consignee / buyer of the export article, **subject to the condition that it shall not count for NFE and direct tax benefits.**
- ❖ Application for setting up an EOU shall be considered by **Unit Approval Committee (UAC)/ Board of Approval (BoA)** as the case may be, as detailed in the Handbook of Procedure.
- ❖ **Second-hand capital goods, without any age limit,** may also be imported with or without payment of duty/ taxes.
- ❖ **EOU/EHTP/STP/BTP unit** shall be a **positive net foreign exchange earner.**
- ❖ Only projects **having a minimum investment of Rs.1 Crore in plant & machinery** shall be considered for establishment as **EOUs(Export Oriented Unit)**. However, this shall not apply to existing units, units in EHTP / STP/ BTP, and EOUs in Handicrafts/Agriculture/ Floriculture/Aquaculture/Animal Husbandry/Information Technology, Services, Brass Hardware, and Handmade jewelry sectors.
- ❖ **Transfer of manufactured goods from one EOU/ EHTP/STP/BTP unit to another EOU / EHTP/ STP/ BTP unit is allowed** on payment of applicable GST and compensation cess with prior intimation to concerned Development Commissioners of the transferor and transferee units as well as concerned Customs authorities.
- ❖ **EOUs shall be set up with approval of UAC to carry out** reconditioning, repair, remaking, testing, calibration, quality improvement, upgradation of technology and re-engineering activities for export in foreign currency.
- ❖ **For services, including software units,** sale in DTA in any mode, including online data communication, **shall also be permissible up to 50% of FOB value of** exports and /or **50% of foreign exchange earned,** where payment of such services is received in foreign exchange.

Foreign Trade Policy -2023

- ❖ Gems and jewelry units may sell up to **10% of FOB value** of exports of the preceding year in **DTA (Domestic Tariff Area)**, **subject to fulfillment of positive NFE (Net Foreign Exchange)**.
- ❖ Unit will **not be required to furnish bank guarantee** at the time of import or going for job work in DTA, where:
 - i. the unit has turnover of Rs. 5 crore or above; and
 - ii. the unit is in existence for at least three years; and
 - iii. the unit has achieved positive NFE / export obligation wherever applicable; and has not been issued a show cause notice or a confirmed demand, during the preceding 3 years.
- ❖ **100% FDI investment** permitted through automatic route similar to SEZ units.
- ❖ **Applications for conversion** into an EOU / EHTP / STP / BTP unit from existing DTA units, having an investment of Rs. 50 crores and above in plant and machinery or exporting **Rs. 50 crores and above annually**, shall be placed before **BOA (Board of Approval)** for a decision.
- ❖ An **authorized person of Gems & Jewellery EOU** may also import gold in primary form, upto **10 Kgs in a financial year** through personal carriage, as per guidelines prescribed by **RBI and DoR**.

CHAPTER 07 - DEEMED EXPORTS

- ❖ **“Deemed Exports”** for the purpose of **this FTP refer to those transactions in which goods supplied do not leave country, and payment for such supplies is received** either in Indian rupees or in free foreign exchange.
- ❖ **“Deemed Exports”** for the purpose of GST would include only the supplies notified under **Section 147** of the **CGST/SGST Act**, on the recommendations of the **GST Council**.
- ❖ The objective is **to provide a level-playing field to domestic manufacturers and to promote Make in India**, in certain specified cases, as may be decided by the Government from time to time.
- ❖ **Incomplete/deficient application** is liable to be rejected. However, **simple interest @ 6% per annum** will be payable on delay in refund of duty drawback and terminal excise duty

Foreign Trade Policy -2023

under the scheme, provided the claim is not settled **within 30 days** from the date of issue of **final Approval Letter by RA**.

- ❖ **Deemed exports shall be eligible for any / all following benefits** in respect of manufacture and supply of goods, qualifying as deemed exports, subject to terms and conditions as:
 - **Advance Authorisation / Advance Authorisation for annual requirement / DFIA.**
 - **Deemed Export Drawback.**
 - **Refund of terminal excise duty for excisable goods mentioned in Schedule 4 of Central Excise Act, 1944 provided the supply is eligible under that category of deemed exports and there is no exemption.**

CHAPTER 08 - QUALITY COMPLAINTS AND TRADE DISPUTES

- ❖ Exporters need **to project a good image of the country** abroad to promote exports. Maintaining an enduring relationship with foreign buyers is of **utmost importance**, and **complaints or trade disputes**, whenever they arise, need to be settled amicably as soon as possible.
- ❖ **Complaints/Disputes between two or more Indian entities are not covered** under this mechanism. Similarly, complaints/disputes between two or more foreign entities are also not covered.
- ❖ **Action against erring exporters/importers** can be taken under the **Foreign Trade (Development and Regulation) Act, 1992**, as amended and under **Foreign Trade (Regulation) Rules, 1993**, as amended.
- ❖ The **following type of complaints** may be considered:
 - (a) **Complaints received from foreign buyers in respect** of quality of goods or services, or technology supplied by exporters from India;
 - (b) **Complaints of importers against foreign suppliers** in respect of quality of the goods or services or technology supplied; and

Foreign Trade Policy -2023

- (c) **Complaints of unethical commercial dealings** categorized mainly as non supply/ partial supply of goods or services or technology after confirmation of order; supplying goods or services or technology other than the ones as agreed upon; non-payment; nonadherence to delivery schedules, etc.
- ❖ To deal effectively with the increasing number of complaints and disputes, a '**Committee on Quality Complaints and Trade Disputes**' (CQCTD) will be constituted in the **Regional Authorities (RAs) of DGFT**.
 - ❖ The **Committee (CQCTD)** will be responsible **for enquiring and investigating into all Quality related complaints** and other trade-related complaints falling under the jurisdiction of the respective RAs.
 - ❖ The **Committee at RA level** can **authorize** B or any technical authority to assess whether there has been any technical failure of not meeting the standards, manufacturing/ design defects, etc. **for which complaints have been received**.
 - ❖ **Director General of Foreign Trade** would appoint an officer, not below the rank of Joint Director General, in the Headquarters, to function as **the 'Nodal Officer'** for monitoring the trade disputes and coordinating with **Regional Authorities of DGFT, Foreign Trade Divisions of Department of Commerce, Indian Missions** and other agencies.
 - ❖ A **Case Officer will be assigned** for monitoring purposes in the designated Regional Authorities **for resolving complaints** and trade disputes in a time bound manner.
 - ❖ **Complaints against foreign entities** would be taken up for settlement by the respective '**Foreign Trade Division**' in the **Department of Commerce, Vanijya Bhavan, New Delhi** through Indian Missions abroad. Indian Missions Abroad will take up the complaints against the foreign entities with authorities concerned.

CHAPTER 09 - PROMOTING CROSS BORDER TRADE IN DIGITAL ECONOMY

Foreign Trade Policy -2023

- ❖ The objective of this chapter is **to provide a framework for cross-border trade of goods and services from India in the digital economy** and the promotion of e Commerce and other emerging channels of exports from India.
- ❖ **Export of goods or services** where selling is **through the internet on an e Commerce platform**, the payment for which shall be done **through international credit or debit cards**, or other authorised electronic payment channels and as specified by the RBI from time to time.
- ❖ **Exports through a registered courier service/Foreign Post Office** is permitted. The **value limit for exports through courier service shall be Rs. 10,00,000 per consignment.**
- ❖ The **Niryat Bandhu Scheme (NBS)** as defined under Chapter 1 of the Policy shall have a component for the **promotion of e-Commerce and other emerging channels of exports.**

Under the given NBS component, **DGFT shall organise outreach activities/workshops** in partnership with Customs Authorities, Department of Post, **‘Industry Partners’** and **‘Knowledge Partners’** for promotion of e-Commerce exports. Besides outreach/ workshops, specific focus may be on creation of electronic content as well.

- ❖ The **objective is to establish designated areas as E-Commerce Export Hubs (hereafter called “ECEH”)**, which would act as a centre for favourable business infrastructure and facilities for **Cross Border E-Commerce activities.**
- ❖ The **ECEH shall ordinarily be setup** through private initiative. It may also be setup in **Public-PrivatePartnership (PPP)** mode in partnership with the State governments/Central government.
- ❖ **ECEH** will function **to achieve agglomeration benefits** for e-commerce exporters. The **ECEH may provide** for storage (including cold storage facilities), **packaging, labelling, certification & testing** and other common facilities for the purposes of export.
- ❖ **Dak Ghar Niryat Kendras** shall be **operationalized throughout the country** to work in a **hub-and-spoke model with Foreign Post Offices (FPOs)** to **facilitate cross-border e-Commerce** and to enable artisans, weavers, craftsmen, MSMEs in the hinterland and land-locked regions to reach international markets.

CHAPTER 10 - SCOMET: SPECIAL CHEMICALS, ORGANISMS, MATERIALS, EQUIPMENT AND TECHNOLOGIES

- ❖ The **general provisions governing** the export of dual use items, munitions and nuclear related items, including software and technology viz. **SCOMET**, are dealt with in this Chapter.
- ❖ **Export of dual-use items**, including software and technologies, having potential civilian / industrial applications as well as use **in weapons of mass destruction is regulated**. It is **either prohibited or is permitted under an Authorization** unless specifically exempted.
- ❖ **SCOMET is an acronym for Special Chemicals, Organisms, Materials, Equipment and Technologies**. Accordingly, the SCOMET list is our **National Export Control List** of dual use items munitions and nuclear related items, including software and technology and is aligned to the control lists of the all the multilateral export control regimes and conventions.
- ❖ The **SCOMET List is** divided **into nine categories** of items from **Category 0 to Category 8**:

Foreign Trade Policy -2023

SCOMET Category	SCOMET items	Jurisdictional Licensing Authority	Remark
0	Nuclear materials, nuclear-related other materials, equipment and technology	Department of Atomic Energy (DAE)	Including items mentioned in Note 2 of CIN of SCOMET List
1	Toxic chemical agents and other chemicals	Directorate General of Foreign Trade (DGFT)	
2	Micro-organisms, Toxins	DGFT	
3	Materials, Materials Processing Equipment and related Technologies	DGFT	
4	Nuclear-related other equipment and technology, not controlled under Category '0'	DGFT	
5	Aerospace systems, equipment, including production and test equipment, and related Technology and specially designed components and accessories thereof.	DGFT	
6	Munitions List	Department of Defence Production (DDP)/ Ministry of Defence	Excluding those covered under Note 2 and 3 of CIN and Sub-category 6A007, 6A008
7	'Reserved'	DGFT	
8	Special Materials and Related Equipment, Material Processing, Electronics, Computers, Telecommunications, Information Security, Sensors and Lasers, Navigation and Avionics, Marine, Aerospace and Propulsion.	DGFT	

- ❖ **Export of items not in the SCOMET List** may also be regulated under provisions of the **Weapons of Mass Destruction and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005**.
- ❖ **Export authorisation is not required for supply of SCOMET items** from **DTA (domestic tariff area)** to **SEZ / EoU**. However, all supplies of **SCOMET items** from **DTA to SEZ/EoU** will be **reported to the Development Commissioner (DC)** of the **respective SEZ/EoU** by the supplier in the prescribed performa **within one week** of the supplies getting effected.
- ❖ **Imported goods covered under the SCOMET list** are **not permitted for export**, even from the **Customs bonded ware house**, without an export authorization, unless specifically exempted.

Foreign Trade Policy -2023

- ❖ **Export authorization for SCOMET items** will be issued **centrally by the DGFT (HQrs)**.
- ❖ **DGFT in association with Administrative Ministries/ Departments and Trade Associations** will organize **Industry Outreach Programmes** on regular basis for effective awareness among the exporters/importers dealing with trade and manufacture, in particular, of **SCOMET items**.

FTP 2023: Ease of Doing Business

1. **Digitization of Applications pertaining to FTP:** Export promotion schemes processes for managing the lifecycle of AA/EPCG/DFIA/Import/Export Licensing made **completely paperless and online**
2. **Automatic System-Based Approval of FTP Applications** - DGFT implemented **rule-based automatic approval** systems using Business Analytics Tools. It has been on - basis for **Advance Authorization Extension/Revalidation Applications**.

Type	Current processing time	Automatic processing time route
Advance authorization issuance	3 to 7 days	1 day
EPCG issuance	3 to 7 days	1 day
Revalidation of authorizations	3 days to 1 month	1 day
Export Obligation period extension applications	3 days to 1 month	1 day

3. **Application fee** reduced for Advance Authorization and EPCG Schemes for MSMEs (55-60% of beneficiaries under the schemes).

CIF Value/Duty saved value (in ₹)	Fee for Non-MSMEs (in ₹)	Fee for MSMEs(in ₹)
Up to 1 crore	1 per 1000	100
1 crore to 10 crores	1 per 1000	5000
Above 10 crores	Cap at 100000	5000

Foreign Trade Policy -2023

4. **Process Re-engineering** undertaken for streamlining as well automating processes. E.g. Standardization of Composition Fees for extension of AA. Benefit for an authorisation with CIF value of Rs 10 crores, with around 50% EO completion is illustrated as under

Type of extension		Earlier Fee (in ₹)		New Fee (in ₹)
Status House Category	Existing Performance Threshold (in USD Million)	Export	Revised performance Threshold (in USD Million)	Export
				10000 fixed
				20000 fixed
One Star	3		3	10000 fixed
Two Star	25		15	
Three Star	100		50	
Four Star	500		200	
Five Star	2000		800	

FTP 2023: Recognition to Exporters

FTP 2023: Export promotion initiatives

Export performance threshold for Recognition to Exporters through Status Holders rationalized. Enabling more beneficiaries **to achieve higher recognition and brand image**

Town of Export Excellence	Product Category
Faridabad	Apparel
Moradabad	Handicrafts
Mirzapur	Handmade Carpet and Dari
Varanasi	Handloom & Handicraft

- **Four new Towns of Export Excellence (TEE) are being declared in addition to the already Existing 39 towns** of export excellence.
- To give thrust to cluster based economic development

Foreign Trade Policy -2023

Towns of Export Excellence- Benefits

- **Recognition** - **global recognition** and brand credibility

- **Market Access Initiative Scheme** - financial assistance for marketing, visit to trade fairs/exhibitions, capacity building and technological services
- **Common Service Provider facility** - CSP facility under EPCG scheme helps in increasing competitiveness of entire cluster by enabling common use of capital goods for exports

Internationalization of Trade in Rupees

International Trade Settlement in INR allowed and changes introduced in the FTP for grant of export benefits & fulfillment of Export Obligation for export realizations in INR as per RBI.

Merchanting Trade Reform

1. Provisions for merchanting trade introduced under FTP
2. To boost merchanting activities from India - where goods do not touch Indian border. The merchant buys from one country and supplies to another country while based in India
3. Expected to facilitate merchanting trade from India making India a trade hub

Foreign Trade Policy -2023

FTP 2023: Facilitating E-Commerce exports

Facilitation

- FTP benefits to be extended to E-Commerce exports
- The value limit for exports through courier service increased from ₹ 5 Lakhs to ₹ 10 Lakhs per consignment.
- Necessary enablement of IT systems in Department of Commerce, Posts, CBIC to be completed in six months
- Guidelines being formulated in consultation with other ministries to facilitate further exports under E-Commerce
- Special outreach and training activities for small E-Commerce exporters

To formulate policy for E-Commerce Export Hubs

- Estimates suggest that the E-Commerce exports expected to grow to \$200-300 Billion by 2030
- Designated zone with warehousing facility to be created
- Designed to help E-Commerce aggregators for easy stocking, customs clearance and returns processing
- Processing facility to be allowed for last mile activities such as labelling, testing, repackaging etc.
- Simplified return process into the zone

FTP 2023: Steps to boost manufacturing

1. Prime Minister Mega Integrated Textile Region and Apparel Parks (**PM MITRA**) scheme has been added as an additional scheme eligible to claim benefits under CSP (Common Service Provider) Scheme of Export Promotion capital Goods Scheme (EPCG).
2. Dairy sector to be exempted from maintaining Average Export Obligation - **to support dairy sector to upgrade the technology**
3. Battery Electric Vehicles (BEV) of all types, Vertical Farming equipment, Wastewater Treatment and Recycling, Rainwater harvesting system and Rainwater Filters, and Green Hydrogen are added to Green Technology products - **will now be eligible for reduced Export Obligation requirement under EPCG Scheme**
4. Special Advance Authorization Scheme **extended for Apparel and Clothing sector** to facilitate prompt execution of export orders - Norms would be fixed within fixed time-frame
5. Benefits of Self-Ratification Scheme for fixation of Input-Output Norms **extended to 2 star and above status holders** in addition to Authorised Economic Operators at present.

Foreign Trade Policy -2023

Way Forward

1. Foreign Trade Policy to be dynamic and responsive to the emerging trade scenario
2. Consultative mechanism to resolve issues of trade and Industry
3. Working towards making Indian Rupee(₹) a global currency and allowing International Trade settlement in INR
4. Wider Engagement with States and Districts to promote exports from the grassroots.
5. Focus on E-commerce exports to streamline processes and make it easier for exports to grow in E-Commerce space
6. Sector specific targets to achieve the goal of 1 trillion dollar merchandise exports and 1 trillion dollar services exports by 2030
7. Restructuring of Department of Commerce to make it future ready.